

“Our **CENTRE IN INDIA** Will Be An **EXTENSION** Of Digi-Key Inc”

Digi-Key Electronics, one of the giants in the distribution of electronics components, recently opened a distribution centre in Bengaluru. Yashasvini Razdan from Electronics For You had a free-wheeling discussion with Ramesh Babu, Chief Information Officer, Digi-Key, and got to know about the plans for this centre. Here are the key excerpts

RAMESH BABU
CHIEF INFORMATION OFFICER,
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Digi-Key had been planning a setup in India for quite some time, but some legal issues were acting as a deterrent. What has changed for you to take the leap now?

Digi-Key has been in India for a long time, irrespective of whether we physically had a building or not. This year alone, we directly sold around \$70 million worth of products from India through the US website. We do have offices (already) in India. For example, in Delhi and Gurgaon we have an order entry support team. So, I see the

new centre as an extension of what we already have.

What are the key drivers that prompted Digi-Key to set up a larger presence in India?

First, our sales have grown in India (even) with limited marketing efforts at our end. We had been thinking about how to support the growth, and it reached a point where we needed to have a local presence. We have also seen a shift in our supply chain. Some of our product suppliers are shifting their manu-

facturing from China to India. The most famous example is that of Apple shifting some of their production to India. There is a whole ecosystem around Apple and other electronics players where they are covering customers. So, we are looking at a very explosive growth and we cannot afford not to have boots on the ground to support as well as fuel the growth and have the infrastructure available readily to support our current customer growth. So those are some of the tipping points for us—sales growth and future potential.